HUM64-2

Public Policy & Institutional Analysis

The policy cycle, state models, regulatory design, and policy evaluation

Reading policy documents as political artifacts and defending a recommendation against explicit trade-offs.

Albert School — 12 hours

Preface

This is the capstone of the Law & Regulation thread. It moves from reading individual regulations (HUM24-2) and analysing digital threat governance (HUM34-3) to reasoning about the institutional architecture of governance itself: why institutions exist, how regulatory agencies balance independence, mandate, and accountability, and why policies that succeed in one context fail when transplanted to another. It uses institutional economics (North), regulatory-design theory (Sunstein), comparative state analysis, and the four-criteria evaluation framework (effectiveness, efficiency, equity, legitimacy), and applies the causal-inference methods inherited from BUS33-4 (counterfactual, natural experiments, difference-in-differences). The course assumes these prerequisites rather than re-teaching them. Its objective is a structured policy brief that defends a recommendation against explicit trade-offs.

Contents

1 Public policy and the policy cycle

Definition 1 (Public policy) A public policy is a deliberate course of action (or inaction) adopted by public authorities to address a public problem. It is distinct from:

- **law**, which is the set of binding rules; policy is the goal-directed choice that law (among other instruments) is used to implement;
- **corporate strategy**, which pursues a private organisation's objectives; public policy pursues a collective objective and is accountable to the public.

1.1 The policy cycle

Policy is conventionally analysed as a cycle of five stages:

1. **Agenda-setting**: a problem comes to be recognised as requiring public action.
2. **Formulation**: options are designed and assessed.
3. **Adoption**: one option is selected and given legal or budgetary force.
4. **Implementation**: the policy is put into effect by administrations and agencies.
5. **Evaluation**: the policy's results are assessed, feeding back into the agenda.

1.2 Actors and the concentration of influence

At each stage different actors compete for influence: **governments** and **parliaments** (formal decision-makers), **regulatory agencies** (implementation and enforcement), **think tanks** (option design), **lobbies** (interest representation), **media** (agenda-setting), and **civil society**. The actors with **visible** influence (formal decision-makers) are not always those with **real** influence: lobbies and expert bodies can concentrate decisive influence at the formulation stage before a decision is ever debated publicly.

> **Remark** The DMA/DSA European negotiation illustrates the mapping of real vs visible influence: the formal actors are the Commission, Parliament, and Council, but platform lobbies, member-state interests, and civil-society coalitions shaped the text at the formulation stage.

2 Policy instruments

A government addressing a problem chooses among instruments. The main types, and the conditions under which each is appropriate:

- **Regulation** (command-and-control): binding rules with sanctions. Appropriate when the behaviour must be guaranteed and non-compliance is unacceptable (safety, rights), and when the regulator can monitor and enforce.
- **Taxation**: pricing a behaviour to discourage it (or subsidies to encourage it). Appropriate when the externality can be priced and behaviour is responsive to price.
- **Public spending**: direct provision or funding. Appropriate when the state is best placed to provide the good or to redistribute.
- **Information campaigns**: changing behaviour by informing. Appropriate when the problem is one of awareness and information is the binding constraint.
- **Nudges**: changing the choice architecture to steer behaviour while preserving free choice (Sunstein). Appropriate when behaviour is shaped by defaults and framing, and mandatory rules would be disproportionate.

The choice depends on **political** conditions (what is acceptable and enforceable), **economic** conditions (the nature of the market failure and behavioural response), and **institutional** conditions (the capacity of the administration to design, monitor, and enforce the instrument).

3 Institutions and state models

Following North, institutions are the "rules of the game" — the formal and informal constraints that structure behaviour — and different societies build different institutional architectures. Three state models:

> **Definition 2 (State models)**
> - **Liberal state**: minimal intervention; the state secures property rights and contracts and lets markets allocate. Regulation is light.
> - **Developmental state**: the state actively steers the economy toward growth, coordinating industry, credit, and investment (the classic East-Asian model).
> - **Regulatory state**: the state governs less by owning or spending than by **rule-making and oversight** through specialised agencies (the dominant EU model).

3.1 Institutional complementarity and transplant failure

Definition 3 (Institutional complementarity) Institutions are complementary when the effectiveness of one depends on the presence of others: a given institution works because it fits the surrounding institutional system (labour rules, finance, education, enforcement).

This explains **transplant failure**: a policy that succeeded in one context often fails when copied into another, because the complementary institutions that made it work are absent in the new context. The analysis of any cross-context policy must therefore identify the complementary institutions, not just the policy itself, and be supported by a concrete comparative case.

4 Regulatory agency design

A regulatory agency is designed along three dimensions:

- **Independence**: insulation from day-to-day political control (fixed terms, protected budget, appointment rules), so decisions are technical and credible rather than electorally driven.
- **Mandate**: the legally defined scope and objectives the agency must pursue.
- **Accountability mechanisms**: how the agency answers for its use of power — parliamentary oversight, judicial review, transparency and reporting obligations, appeal procedures.

Independence and accountability are in tension: more insulation buys credibility but weakens democratic control, so the design must balance them.

Definition 4 (Regulatory capture) Regulatory capture occurs when an agency, over time, comes to serve the interests of the industry it regulates rather than the public interest — through industry expertise dependence, revolving-door employment, or sustained lobbying.

A named case from digital, financial, or environmental regulation is used to assess an agency's vulnerability to capture.

4.1 The institutional architecture of AI governance

As one named case, the AI Act's institutional architecture:

- **AI Act implementation**: the risk-tiered regulation is given effect through a new institutional layer.
- **AI Office**: the central EU body coordinating implementation and supervising general-purpose AI.
- **National competent authorities**: the member-state regulators that supervise and enforce within each country.
- **Cross-border enforcement**: mechanisms for coordinating across member states so a system deployed in several does not escape oversight.
- **Algorithmic-accountability redress mechanisms**: the routes by which an affected person can contest an automated decision.

Definition 5 (AI-accountability gap and redesign) An identified **accountability gap** in this architecture (for example, unclear allocation of responsibility for cross-border general-purpose systems, or weak individual redress) calls for a **specific institutional-redesign proposal** that would close it — for instance, a clearer single point of accountability or a strengthened redress mechanism.

5 Four-criteria policy evaluation

A real public policy is evaluated against four explicit criteria:

Definition 6 (The four evaluation criteria)

- **Effectiveness**: did the policy achieve its stated objective?
- **Efficiency**: did it achieve it at acceptable cost (benefits vs resources used)?
- **Equity**: how are the gains and losses distributed across groups?
- **Legitimacy**: was the policy adopted and implemented through accepted, accountable procedures?

5.1 Causal inference for evaluation

Effectiveness cannot be read off a simple before/after comparison: the **counterfactual** — what would have happened without the policy — is never observed. The methods inherited from BUS33-4 address this:

- **Counterfactual**: the central problem; a credible estimate requires a comparison that stands in for the unobserved no-policy outcome.
- **Natural experiments**: external events that assign the policy in a quasi-random way, approximating a controlled experiment.
- **Difference-in-differences**: compares the before–after change in a treated group with that in a control group, removing fixed differences and common trends; valid only under the **parallel-trends** assumption.

These are applied to real policies — carbon tax, minimum wage, housing, board quotas.

Common pitfall A claim that a policy "worked" must name the counterfactual and the identifying assumption. A raw before/after change confounds the policy with everything else that changed at the same time.

5.2 Reading a policy document as a political artifact

A government white paper or regulatory impact assessment is not a neutral technical text. Reading it as a political document means identifying its **embedded assumptions**, the **interests it serves**, and the **alternatives it excludes** — options left unassessed are themselves a political choice.

6 Policy failure analysis

A policy failure is analysed through an **institutional lens**, anchored on a named failure, by identifying:

1. **Misaligned incentives**: where the actors' incentives pulled against the policy's objective.
2. **Governance gaps**: where no institution held clear responsibility, or oversight was missing.
3. **Institutional redesign**: the change in institutional design that could have prevented the failure.

6.1 Connection to cross-pillar decisions

A specific institutional design constrains or enables decisions in Strategy, Finance, or Operations. Examples used: **central bank independence** (constrains monetary conditions for financing decisions), a **data protection authority's mandate** (constrains data-driven operations), a

carbon market's architecture (shapes the cost of emissions for strategy). The point is that the institutional environment is a variable that cross-pillar decisions must take as given — or seek to influence.

7 Companies inside regulation

A company can relate to regulation in escalating degrees of engagement:

- **Reactive compliance**: meeting the rules after they are set.
- **Anticipation**: positioning ahead of expected regulation.
- **Rule-building participation**: taking part in shaping the rules themselves.

> **Definition 7 (Lobbying as a strategic tool)** Lobbying — the organised representation of interests to decision-makers — is a **legitimate** strategic tool when conducted transparently within the rules. It is one of the means by which firms participate in rule-building.

A firm can **convert regulatory constraints into competitive advantages**: meeting a demanding standard earlier or better than rivals, shaping a rule to fit its capabilities, or turning compliance into a credible quality signal.

8 Policy brief production

The integrative task is a **structured policy brief** on a real public problem. It reads the relevant white paper or regulatory impact assessment as a political document and is built from the following required components:

1. **Quantified diagnosis**: the problem stated with evidence and numbers.
2. **Three options**, each with an explicit **cost–benefit assessment against the four criteria** (effectiveness, efficiency, equity, legitimacy).
3. **Reasoned recommendation**: one option defended against the explicit trade-offs.
4. **Sequenced implementation plan**: the ordered steps to put it into effect.
5. **Monitoring indicators**: what will be measured during implementation.
6. **Ex post evaluation criteria**: how success will be judged afterwards.
7. **An honest account of limitations**.

The brief is delivered **in writing and orally before a jury including a practitioner**.